Report of the Independent Auditor on the Summary Financial Statements
To the Members of Eveready East Africa Plc

Opinion

The summary financial statements which comprise the summary Group and Company balance sheets at 30th September 2020, the summary Group and Company statements of profit and loss account and other comprehensive income, the summary Group statement of changes in equity and the summary Group and Company statements of cash flows for the year then ended were derived from the audited financial statements of Eveready East Africa Plc and its subsidiaries (together, the "Group") for the year ended 30th September 2020.

In our opinion, the accompanying summary financial statements are consistent, in all material respects, with the audited financial statements of the Group and of the Company which are prepared in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, 2015.

Summary financial statements

The summary financial statements do not contain all the disclosures required by International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, 2015.

Reading the summary financial statements and the auditor's report thereon, therefore, is not a substitute for reading the audited financial statements and the auditor's report thereon. The summary financial statements and the audited financial statements do not reflect the effects of events that occurred subsequent to the date of our report on the audited financial statements.

The audited financial statements and our report thereon

We expressed an unmodified audit opinion on the audited financial statements in our audit report dated 29th March 2021 and also confirm that the auditable part of the directors' remuneration report was prepared in accordance with the Companies Act, 2015.

That report also includes a section on *Material Uncertainty Related to Going Concern* that draws attention to Note 27 in the audited financial statements. Note 27 of the audited financial statements indicates that Eveready East Africa Plc incurred a net loss of KSh 69,010,000 during the year ended 30th September 2020. These events or conditions, along with other matters set forth in Note 27 of the audited financial statements, indicate that a material uncertainty exists that may cast significant doubt on the Group and Company's ability to continue as a going concern.

The communication of other key audit matters. Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period.

Director's responsibility for the summary financial statements

Directors are responsible for the preparation of the summary financial statements in accordance with the International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, 2015.

Auditor's responsibility

Our responsibility is to express and opinion on whether the summary financial statements are consistent, in all material respects, with the audited financial statements based on our procedures, which were conducted in accordance with International Standard on Auditing (ISA) 810 (Revised), Engagements to Report on Summary Financial Statements.

The engagement partner responsible for the audit resulting in this independent auditor report is CPA Elvis Ogeto, Practising Certificate No. 2303.

Certified Public Accountants
Nairobi

29th March 2021

EXTRACT OF AUDITED FINANCIAL RESULTS OF THE GROUP FOR THE YEAR ENDED 30 SEPTEMBER 2020

EVEREADY E.A. PLC

EXTRACT OF CHAIRPERSON'S STATEMENT

Covid-19 was unforeseen and muted our growth in FY2020. This had an unprecedented impact on our financial performance and impacted the strength of our balance sheet.

We continue to believe that our 2018/22 Strategy is the right one and prior to the outbreak of Covid-19 we had successfully concluded its Phase 1 namely, identifying new revenue drivers and aligning operation to those growth drivers in order to maximise their returns to our business.

Our focus in Phase 2 is to appropriately secure Eveready's identified revenue drivers - this means that we provide adequate resources to fuel these growth drivers. This will be a key focus for the board in the following financial year.

Mrs. Lucy Waithaka, Chairperson
29 March 2021

EXTRACT OF ACTING MANAGING DIRECTOR'S STATEMENT

The group recorded an improved bottom-line performance over the plan period, with an eye on achieving profitability:

- achieved year on year growth in our revenue drivers - 900% and 70% in year 2018 and 2019 respectively even as 2020 held steady (the global health emergency checked our momentum as the measures taken by governments to control the spread of the pandemic and ensure the safety of its citizens, impacted our business).
- have also consistently improved our bottom-line performance by reducing our loss position by 35% in FY2019 and 53% in 2020 respectively (notwithstanding the pandemic).

The progress to our goal of achieving a positive performance by 2021 - was slowed down as a result of the global pandemic. We now work with new recovery timelines and its impact to our future financial performance. The directors, having reviewed future plans and projections, resolved that additional measures are needed to protect and sustain the gains so far made under the plan.

Mr. Thomas Masaki, Acting Managing Director
29 March 2021

PERFORMANCE AT A GLANCE

Financial Year	2020	2019
Net Sales	KES 134M	KES 191M
Earnings Per Share(EPS)	(0.33)	(1.45)
Loss Before Tax	(KES 50M)	(KES 107M)
Cash & Cash Equivalents at End of Year	KES 68M	KES 78M
Dividend	KES Nil	KES Nil

CATEGORY CONTRIBUTION

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 30TH SEPTEMBER 2020

	Group		Company	
Continuing Operations	2020 KShs '000	2019 KShs '000	2020 KShs '000	2019 KShs '000
Sales	133,590	190,667	133,590	190,667
Cost of Sales	(105,655)	(154,013)	(105,655)	(154,013)
Gross Profit	27,935	36,654	27,935	36,654
Other Income	7,922	14,873	7,922	14,873
Gain on Disposal of Assets	1,144	5,983	1,144	5,983
Overhead Expenses	(84,012)	(163,516)	(84,012)	(163,516)
Finance Costs	(2,926)	(889)	(2,926)	(889)
Profit or (Loss) Before Tax	(49,937)	(106,895)	(49,937)	(106,895)
Tax Income/(Expense)	(19,073)	(196,649)	(19,073)	(196,649)
(Loss)/Profit for the Year From Continuing Operations	(69,010)	(303,544)	(69,010)	(303,544)
(Loss)/Profit for the Year From Discontinued Operations	-	-	-	-
(Loss)/Profit for the Year	(69,010)	(303,544)	(69,010)	(303,544)
Total Comprehensive (loss)/Income for the Year Attributable to the Owners of the Company	(69,010)	(303,544)	(69,010)	(303,544)
Earnings Per Share	KShs	KShs	KShs	KShs
Loss Per Share	(0.33)	(1.45)	(0.33)	(1.45)

BALANCE SHEET AS AT 30TH SEPTEMBER 2020

	Group		Company	
Equity	2020 KShs '000	2019 KShs '000	2020 KShs '000	2019 KShs '000
Share Capital	210,000	210,000	210,000	210,000
Translation Reserve	18,159	18,159	-	-
Retained Earnings	(187,168)	(118,158)	(169,009)	(99,999)
Total Equity	40,991	110,001	40,991	110,001
Non-Current Liabilities				
Lease Liabilities	3,744	-	3,744	-
Provision for Liabilities Charges	4,424	8,847	4,424	8,847
	8,168	8,847	8,168	8,847
	49,159	**118,848**	**49,159**	**118,848**
REPRESENTED BY				
Non-Current Assets				
Right of Use Assets	7,759	-	7,759	-
Property, Plant and Equipment	3,505	4,485	3,505	4,485
Investment in Subsidiary	-	-	-	-
Deferred Income Tax	31,872	49,284	31,872	49,284
	43,136	53,769	43,136	53,769
Current Assets				
Inventories	38,055	36,014	38,055	36,014
Trade and Other Receivables	42,044	80,554	42,044	80,554
Cash at Bank and in Hand	77,850	78,189	77,850	78,189
	157,949	194,757	157,949	194,757
Current Liabilities				
Lease Liabilities	4,267	-	4,267	-
Trade and Other Payables	129,681	111,728	129,681	111,728
Current Tax	4,547	5,258	4,547	5,258
Borrowings	13,431	12,692	13,431	12,692
	151,926	129,678	151,926	129,678
Net Current Assets	6,023	65,079	6,023	65,079
	49,159	**118,848**	**49,159**	**118,848**

COMMENTS ON THE RESULTS

The group reported a loss before tax of KES.50M compared to KES.107M the previous year, a 53% improvement.

There was a 30% decrease in revenue due to lower sales numbers during the period principally as a result of the Covid-19 pandemic which impacted our customers, our supply chain and route to market in the period.

We adopted strict cost saving measures in response to the pandemic which resulted to a KES.30% reduction in overhead costs.

Dividend

The Company does not recommend the payment of an interim dividend.

Future Outlook

The Directors anticipate that the economic recession arising out of the impact of Covid-19 will continue its impact into FY 2021. We remain focused on exploiting growth opportunities in fulfitment of our Strategic Plan, 2022 and since the Company's core capital has been eroded over time, the company is engaging its key stakeholders on initiatives to place the company on a path to sustainable profitability.

ABOUT EVEREADY EAST AFRICA PLC

Eveready East Africa Plc is a consumer goods Company focused on providing branded portable power solutions packaged to consumers in Kenya. The Company is headquartered in Nairobi, Kenya. The Company, which is one of the largest portable power solutions in Kenya, was founded in 1967 and is listed in the Nairobi Securities Exchange. The Company operates in two segments Automotive and Household. The Company sells its products in Kenya primarily through automotive dealers, wholesalers, electronic stores, retail stores, petrol stations and high-frequency stores.

Automotive Segment - The Company offers Maintenance Free and Vented car batteries, and accessories under the brands TURBO® and TURBOPlus+®

Household Segment - The Company offers lighting products, dry cell batteries in sizes 'D' 'AA' 'AAA' '9V', 'C' and Miniature in carbon zinc, alkaline batteries, lithium and rechargeable constructions under the brands TURBO® and TURBOPlus+®. This segment also includes the Company's fabric care division under the brand EVERCLEAN®.

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 30TH SEPTEMBER 2020

	Share Capital KShs '000	Translation Reserve KShs '000	Retained Earnings KShs '000	Total KShs '000
At 1st October 2018	210,000	18,159	185,386	413,545
Changes in Equity in 2019				
Loss for the Year	-	-	(303,544)	(303,544)
At 30th September 2019	210,000	18,159	(118,158)	110,001
At 1st October 2019	210,000	18,159	(118,158)	110,001
Changes in Equity in 2020				
Loss for the Year	-	-	(69,010)	(69,010)
At 30th September 2020	210,000	18,159	(187,168)	40,991

CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 30TH SEPTEMBER 2020

	Group		Company	
	2020 KShs '000	2019 KShs '000	2020 KShs '000	2019 KShs '000
Cash Flows From Operating Activities				
(Loss) Before Tax	(69,010)	(303,544)	(69,010)	(303,544)
Adjustments For:				
Income Tax	19,073	196,649	19,073	196,649
Depreciation of Equipment	972	3,109	972	3,109
Depreciation of Right-of-Use Assets	3,880	-	3,880	-
Gain on Disposal of Assets	(1,144)	(5,983)	(1,144)	(5,983)
Interest Expense	2,030	889	2,030	889
Interest Paid on Lease Liabilities	896	-	896	-
Assets Write Off	-	1,386	-	1,386
Operating Profit Before Working Capital Changes	(43,303)	107,494	(43,303)	(107,494)
Decrease in Trade and Other Receivables	38,510	50,485	38,510	50,485
(Increase)/Decrease in Inventories	(2,041)	52,837	(2,041)	52,837
(Decrease)/Increase in Trade and Other Payables	17,953	2,772	17,953	2,772
Decrease in Provision of Liabilities	(4,423)	-	(4,423)	-
Cash (Used in)/Generated From Operations	6,696	(1,400)	6,696	(1,400)
Interest Paid	(2,030)	(889)	(2,030)	(889)
Interest Paid Lease Liabilities	(896)	-	(896)	-
Tax Paid	(2,372)	(2,180)	(2,372)	(2,180)
Net Cash (Used In)/Generated From Operating Activities	1,398	(4,469)	1,398	(4,469)
Cash (Used In)/Generated From Operations				
Purchase of Property, Plant and Equipment	(80)	(1,663)	(80)	(1,663)
Proceeds From Disposal of Property, Plant and Equipment	1,232	6,257	1,232	6,257
Net Cash Generated From Investing Activities	1,152	4,594	1,152	4,594
Cashflows From Financing Activities				
Payment of Principal Portion of The Lease Liability	(3,628)	-	(3,628)	-
(Repayment of) Proceeds From Borrowings	(9,490)	9,498	(9,490)	9,498
Net Cash Generated From/(Used In) Financing Activities	(13,118)	9,498	(13,118)	9,498
Net Increase in Cash and Cash Equivalents	(10,568)	9,623	(10,568)	9,623
Cash and Cash Equivalents at Start of The Year	78,189	68,566	78,189	68,566
Cash and Cash Equivalents at End of The Year	67,621	78,189	67,621	78,189

REPORT OF THE INDEPENDENT AUDITOR TO THE MEMBERS OF EVEREADY EAST AFRICA PLC

Opinion

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The Audited Financial Statements and Our Report Thereon

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The engagement partner responsible for the audit resulting in this independent auditor report is CPA Elvis Ogeto, Practising Certificate No. 2303.

Certified Public Accountants
Nairobi

29th March 2021

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